Acme Retail Ltd: Q2 FY2026-27 Business Review

Fictional company. All figures are invented for demonstration.

1. Quarter Summary (Q2 FY2026-27)

Net revenue for the quarter was INR 1,326 crore, 16 percent higher than the same quarter last year and 2 percent above budget. Contribution margin was 8.9 percent against a budget of 8.5 percent.

Orders reached 18.4 million. Average order value was INR 731. Conversion rate was 2.7 percent, above the 2.5 percent benchmark. CAC was INR 418.

KPI	Actual	Budget	Variance
Net revenue (INR crore)	1,326	1,300	+2.0%
Contribution margin	8.9%	8.5%	+0.4 pts
Orders (million)	18.4	18.0	+2.2%
CAC (INR)	418	450	-7.1%
Marketing spend (INR crore)	96	92	+4.3%
Fulfilment cost (INR crore)	151	148	+2.0%

2. Variance Commentary

Marketing spend was 4.3 percent above budget, which is below the 5 percent investigation threshold, so no formal investigation was required. The overspend was caused by an additional festive pre-launch campaign approved by the Marketing head in August.

Fulfilment cost exceeded budget by 2 percent, driven by higher volumes in the eastern region where the second carrier was onboarded. The Operations team expects the cost per order to fall by INR 4 in the next quarter.

Electronics returned an unfavourable margin variance of 1.3 points because of aggressive pricing on smartphones. Category management will review the price list in November. This is the second consecutive month with an unfavourable variance on this line; a third month would trigger a re-forecast.

3. Actions and Next Steps

1) Re-forecast: Finance will refresh the rolling forecast on the fifth working day of November, including the festive season volumes. 2) Cost: Operations will present the carrier cost plan by 20 November. 3) Pricing: Category will propose smartphone pricing changes before the next KPI review.

The KPI review meeting is held every Monday and the Power BI dashboards refresh daily at 6 AM. Owners must submit variance commentary within three working days of the month-end close.

Risks for the next quarter: supply delays in electronics, a possible increase in return rates after festive sales, and higher marketing costs during the sale period.